

Palermo et al. v. City of Toronto et al.
Court File No. 08-CV-350220PD2
2010 ONSC 6985

A. Drimer, counsel for the defendant, City of Toronto
S. Bellissimo, counsel for the plaintiff

Nature of the Motion/Disposition

Upon hearing submissions of counsel for the parties, I granted the motion by the defendant, City of Toronto in which the defendant sought an order setting aside the noting in default and granting leave to the defendant to serve and file its defence within 30 days. In doing so, no costs were ordered. These are my reasons for granting the motion.

Background/Facts

The background facts giving rise the motion are not substantially in dispute. The action relates to a slip and fall accident that occurred on December 18, 2007 when the plaintiff, Angela Palermo ("Angela") was walking near 2116 Eglinton Avenue West, Toronto. At the time the statement of claim was issued on March 4, 2008, Angela remained in a vegetative state in hospital.

The following is the chronology of facts and events pertinent to the motion:

Date	Event/Description
December 18, 2007	Slip and fall accident
December 18, 2007	Letter from plaintiffs' counsel to the defendant; plaintiffs' counsel advises that client was in intensive care unit/critical care at Sunnybrook Hospital
January 17, 2008	Contact between plaintiffs' counsel and the adjuster; adjuster requested information regarding the claim including information concerning Angela's occupation and income to allow a medical reserve to be established
March 4, 2008	Statement of claim issued; Angela in vegetative state with brain injury
March 7, 2008	Statement of claim served on the defendant
March 14, 2008	Letter from adjuster to plaintiffs' counsel requesting an indulgence and that no steps be taken to note the defendant in default without adequate notice
March 28, 2008 (from the case history)	Notice of Intent to Defend filed by the defendant, Chen Weiwei ("Weiwei")
April 7, 2008 (from the case history)	Weiwei defence filed
April 22, 2008	Letter from plaintiffs' counsel to the adjuster requesting advice as to the status of the investigation
June 3, 2008	Letter from adjuster to plaintiffs' counsel advising that investigation was underway
December 9, 2008	Letter from plaintiffs' counsel to adjuster requesting adjuster's advice if she wanted to meet to discuss settlement and if not, to deliver the defence within 30 days; adjuster deposed that she did not receive this

	correspondence
March 10, 2009	Defendant noted in default
April 23, 2009	Motion without notice for extension to Master Haberman booked but not confirmed
May 19, 2009	Angela died
September 29, 2009	Certificate of Appointment of Estate Trustee without a will issued, appointing Francesco and Antonion Palermo as estate trustees
January 21, 2010	Adjuster reviewed the winter maintenance records of the defendant
January 21, 2010	Adjuster telephoned plaintiffs' counsel requesting a status update
January 22, 2010	Telephone discussion between adjuster and plaintiffs' counsel; plaintiffs' counsel advised that the defendant noted in default; adjuster requested plaintiffs' counsel's consent to setting aside the noting in default
January 22, 2010	Letter from plaintiffs' counsel to defence counsel enclosing copy of letter dated December 9, 2008
January 22, 2010	Letter from adjuster to plaintiffs' counsel requesting copy of default judgment and seeking consent to setting aside the noting in default
January 29, 2010	Defence counsel retained
February 2, 2010	Letter from adjuster to plaintiffs' counsel advising of retainer of defence counsel
February 5, 2010	Telephone call between defence counsel and plaintiffs' counsel; defence counsel requested a copy of damages documentation
February 11, 2010	Plaintiffs' counsel advised that he had scheduled a motion for judgment on the statement of claim
February 16, 2010	Defence counsel requested plaintiffs' consent to setting aside the noting in default
February 18, 2010	Adjuster instructed defence counsel to bring motion to set aside the noting in default
February 22, 2010	Defence counsel discussed with plaintiffs' counsel's office the scheduling of the motion; plaintiffs' counsel requested motion be returned before a judge, not master, as plaintiffs intended to move for judgment on the statement of claim
February 25, 2010	Letter from defence counsel to plaintiffs' counsel providing motion dates and advising that plaintiffs' motion for judgment not necessary or appropriate
March 4, 2010	Motion to set aside noting in default scheduled for April 29, 2010
April 1, 2010	Letter from plaintiffs' counsel requesting defence motion materials
April 1, 2010	Letter from defence counsel advising that no order to continue had been obtained and no estate administrator had been appointed and, as a result, the action was stayed
April 5, 2010	Letter from plaintiffs' counsel to defence counsel advising that he would obtain an order to continue at the same time as the defence's motion to set aside the noting in default
April 23, 2010 (from the case history)	Order to continue filed
April 29, 2010	Motion returned

The plaintiffs had not served the claim upon the defendant, GBJY Investment Ltd. The claim has been served upon Weiwei, who has defended the action. It is not clear from the record as to whether the plaintiffs have proceeded with the claim against Weiwei, but there is some evidence from the adjuster that no discoveries have been held. It is a fair inference that nothing of any substance has transpired in the prosecution of this action from December, 2008, when plaintiffs' counsel wrote to the adjuster and the hearing of the motion, aside from the noting in default.

Discussion/Analysis

This motion is brought pursuant to rule 19.03 of the *Rules of Civil Procedure* which provides that the noting of default may be set aside by the court on such terms as are just.

The relief sought on the motion is discretionary and requires the court to consider the conduct of both the plaintiff and the defendant, the length of the defendant's delay, the reasons for the delay and the complexity and value of the claim. (see *Metropolitan Toronto Condominium Corporation No. 706 v. Bardmore Developments Ltd.* (1991), 3 OR(3d) 278 (C.A.) at para. 18. I consider each of these factors

Length of Delay

There is clearly a lengthy delay in the defence of the action. The claim was served upon the defendant in March, 2008. There has been a delay for the period June, 2008 and January 2010, some 18 months. Plaintiffs' counsel submitted that had something happened sooner, the plaintiffs would have agreed to setting aside the noting in default.

Despite this position, it would appear to me, notwithstanding the passage of time, the plaintiffs have suffered no prejudice as a result of the delay. It would seem to me that the prejudice relied upon by the plaintiffs relates to the standard for proof required to establish damages. This is not prejudice occasioned by the delay but is a benefit that the plaintiffs hope to secure as a result of noting the defendant in default.

There was a suggestion that the intervening death of Angela in May 2009 was prejudicial. In my view, based on the allegation in the statement of claim that Angela was in a vegetative state as of March, 2008 when the claim was issued and there being no evidence that she emerged from such a state prior to her death, I am unable to conclude that Angela's death has been prejudicial in any way to the plaintiffs' case. Indeed, although not in the record, plaintiffs' counsel advised the court that Angela had been hospitalized for a concussion and fell into a coma soon afterwards following other medical issues.

Explanation for the Delay

The defendant has offered the following explanations for the delay:

1. It was investigating the claim;
2. It was proceeding under the belief that it had a waiver of defence from plaintiffs' counsel; and

3. It had not received the key letter dated December 9, 2008 from plaintiffs' counsel demanding a defence within 30 days in the event that the defendant did not wish to meet to discuss settlement.

In my view, these explanations are reasonable and I accept them.

It is clear that steps were and had been taken by the defendant to investigate the claim. Plaintiffs' counsel submitted that there was no explanation from the defendant as to what it did to investigate the claim. In my view, it is not relevant as to the steps taken by the defendant to investigate the claim, as such matters might be covered by litigation privilege, although it might be advisable to provide some details as to its investigation. I have no reason to doubt the defendant's explanation that the defendant was investigating the claim.

The second and third explanations are related. The defendant believed it had a waiver of defence and was not aware that the waiver had been retracted by plaintiffs' counsel in his letter dated December 9, 2008. The defendant's adjuster claims that she did not receive the December 9, 2008 letter.

I accept the evidence of the adjuster that she did not receive the December 9, 2008 letter from plaintiffs' counsel requesting the adjuster's advice as to a settlement meeting or seeking a defence if there was no interest in meeting. I do not see this as a case where the defendant, or its adjuster, simply ignored the claim. It is clear that the defendant was reviewing and considering the claim from the date it received notice and there had been some measure of communication between plaintiffs' counsel and the adjuster.

I would observe, as well, that there appears to be irregularities in the delivery of the key December 9, 2008 letter to the adjuster. These irregularities, not explained, are:

1. The correspondence from plaintiffs' counsel up to and including the December 9, 2008 letter been delivered to the adjuster at fax no. 416-252-1889 and this number was in fact reflected on the letters in question. However, the key December 9, 2008 letter was not delivered to 416-252-1889 (although this is the fax no. reflected on the letter) but rather, it was delivered to 905-671-1889. There is no explanation from plaintiffs' counsel as to why a different fax number was used.
2. The fax transmission also indicates the Mode "EC" which appears to represent "Error Correct". There is no explanation as to what "Error Correct" means but it is notable that nothing in the confirmation indicates "CP" which appears to represent "Completed". There is nothing in the fax transmission that indicates or reports a successful transmission of the December 9, 2008 letter.

It would appear to me reasonable to accept the evidence of the adjuster in the face of the apparent irregularities in the delivery of the key December 9, 2008 letter.

The Behaviour of the Plaintiffs and the Defendant

In the circumstances, it is my view that it would have been appropriate and desirable for the plaintiffs to follow up on the key December 9, 2008 letter. Almost three months passed by the time the plaintiffs proceeded to note the defendant in default (on March 10, 2009). The plaintiffs then took no steps to proceed with the action for more than 10 months and then, it would appear that they were prompted to do so only as a result of the contact initiated by the defendant's adjuster.

I also refer to the fact that plaintiffs' counsel did not respond in any meaningful way to the adjuster's inquiries concerning Angela, her claim, etc. There is no explanation for the lack of response. This is particularly troublesome in light of plaintiffs' counsel's letter of December 9, 2008 seeking to the defendant's advice as to entering into a settlement meeting.

The plaintiffs' behaviour in the circumstances operates in favour of the exercise of the court's discretion to set aside the noting in default.

I do not see any behaviour of the defendant that would operate against the exercise of the court's discretion to set aside the noting in default, other than the delay that ensued. However, this factor has been addressed above.

The Complexity and Value of the Claim

It is clear that the case is complex and the plaintiffs have claimed in excess of \$2.7 million. What might have commenced as a relatively straightforward slip and fall has altered into what would appear to be complex issues of causation, based on plaintiffs' counsel's advice that Angela fell into a coma following other medical issues. The assessment of damages is likely complex in the circumstances as well.

Conclusion

Considering the factors noted and discussed above specifically and generally, I am of the view that this is an appropriate case in which to exercise the court's discretion to set aside the noting in default. There is no prejudice to the plaintiffs that could be discerned, there is significant exposure to the defendant and there was a reasonable explanation for the delay. It is clear the defendant had an intent to defend. In my view, the facts of this case are more than sufficient to warrant the grant of the motion.

Costs

It was my view that there should be no costs of the motion in favour of the defendant, in light of the failure and delay of the defendant to deal with the defence of the action and in favour of the plaintiffs, in light of my view that the situation could have been avoided altogether had the plaintiffs followed up on the December 9, 2008 letter. I agree with defence counsel and the adjuster's views that such a step should have been taken as a matter of courtesy.

Master Sproat
December 15, 2010